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REPORT OF THE AUDIT COMMITTEE OF AVANTEL LIMITED BEARING CIN: L72200AP1990PLC011334
("COMPANY") RECOMMENDING THE DRAFT SCHEME OF AMALGAMATION BETWEEN AVANTEL LIMITED AND WIKI KIDS LIMITED AND THEIR RESPECTIVE SHAREHOLDERS AND CREDITORS, ISSUED CONSEQUENT TO THE MEETING OF THE AUDIT COMMITTEE OF THE COMPANY HELD ON SATURDAY, THE 3RD DAY OF SEPTEMBER, 2016, AT 03.00 P. M. AT THE CORPORATE OFFICE OF THE COMPANY SITUATED AT PLOT NO. 16, SECTOR-III, HUDA TECHNO ENCLAVE, OPP. K. RAHEJA IT PARK, MADHAPUR, HYDERABAD-81.

Members Present:

Shri N. Naveen	- Chairman
Shri Y. Kishore	- Member
Shri Raghu Prasad Pidikiti	- Member
Shri EBV Ramana Gupta	- Member

In Attendance:

Shri Lokesh Agarwal	- Company Secretary
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1. BACKGROUND

1.1 A meeting of the members of the Audit Committee of the Company was held on 3rd Day of September, 2016, to consider and to recommend to the Board for its consideration and approval, the proposed **Scheme of Amalgamation between Avantel Limited and Wiki Kids Limited and their respective Shareholders and Creditors** ("Scheme") providing for the amalgamation of Wiki Kids Limited (Transferor Company) with Avantel Limited (Transferee Company) on a going concern basis with effect from 01.04.2016 (First Day of April, Two Thousand and Sixteen) being the appointed date and presented under the provisions of Section 391 to 394 of the Companies Act, 1956 and other applicable provisions, if any, of the Companies Act, 1956, and of the Companies Act, 2013, including any statutory modifications, amendments, re-enactments thereof for the time being in force, relevant and applicable regulations of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirement) Regulations, 2015 [SEBI (LODR) Regulations], the provisions of SEBI Circular No. CIR/CFD/CMD/16/2015, dated 30th November, 2015, and relevant rules of the Companies (Court) Rules, 1959.



Avantel Limited

Registered Office

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Corporate Office

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1.2 This report of the Audit Committee is being made in order to comply with the requirements of SEBI Circular No. CIR/CFD/CMD/16/2015, dated 30th November, 2015, issued by the Securities and Exchange Board of India ("SEBI").

1.3 The Draft Scheme duly initialed by the Company Secretary of the Company for the purpose of identification, was placed before the members of the Audit Committee.

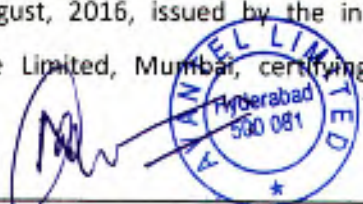
2. PROPOSED SCHEME OF AMALGAMATION

2.1 The members of the Audit Committee noted the rationale of the Scheme which is as follows:

- a) Avantel is in the business of design, develop and Manufacture of mobile satellite communication products, Defence Electronic Equipment as well as software products and services. Amalgamation of Wiki kids into Avantel will enable Avantel to directly foray into E-Learning services by leveraging its strength in software development.
- b) The amalgamation will enable Avantel to diversify into high growth and profitable areas of business without any gestation. It enables Avantel to improve steadiness of cash flows and to participate more vigorously and profitably in an increasingly competitive and liberalized market.
- c) The amalgamation would result in optimizing and leveraging existing resources and infrastructure of Avantel.
- d) The combined entity would result in improved cash flows, increased net worth, better credit rating, and thereby strengthening the value of all the stakeholders of the Company.

2.2 The Audit Committee also took note of the following documents:

- a) **Valuation Report**, dated 22nd day of August, 2016, prepared and issued by the independent valuers, M/s. Nekkanti Srinivasu & Co., Chartered Accountants, Hyderabad, determining and recommending the fair Share Exchange Ratio of 100 (One Hundred) equity shares in Avantel Limited for every 289 (Two Hundred and Eighty Nine) equity shares held in Wiki Kids Limited) as mentioned in the Scheme for the purpose of the proposed amalgamation.
- b) **Fairness Opinion Certificate**, dated 30th day of August, 2016, issued by the independent Merchant Banker, Mark Corporate Advisors Private Limited, Mumbai, certifying that the



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valuation made by the M/s. Nekkanti Srinivasu & Co., Chartered Accountants, Hyderabad, is fair and reasonable for the proposed Share Exchange Ratio.



- c) **Networth Certificate** pre and post Scheme of Amalgamation, issued by the Statutory Auditors of the Company.
- d) **Certificate** issued by the Statutory Auditors of the Company in terms of provisions of SEBI Circular No. CIR/CFD/CMD/16/2015, dated 30th November, 2015, confirming the proposed accounting treatment as contemplated under clause 11 of Scheme of Amalgamation between Avantel Limited and Wiki Kids Limited and their respective Shareholders and Creditors with reference to its compliance with the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirement) Regulations, 2015 and the Circulars issued thereunder and all the applicable Accounting Standards notified under the Companies Act, 1956 and /or 2013 and Other Generally Accepted Accounting Principles

3. RECOMMENDATION OF THE AUDIT COMMITTEE

Taking into consideration the rationale of the Scheme of Amalgamation between Avantel Limited and Wiki Kids Limited and their respective Shareholders and Creditors, the Valuation Report and the Fairness Opinion Certificate, the Audit Committee do hereby recommends the draft Scheme to the Board of Directors of the Company for favorable consideration and approval.

BY THE ORDER OF THE AUDIT COMMITTEE

FOR AVANTEL LIMITED



N. NAVEEN

CHAIRMAN

PLACE: HYDERABAD

DATE: 03.09.2016

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